IN THE NATIONAL COMPANY LAW TRIBUNAL,
SINGLE BENCH, CHENNAI

CAs/28 to 31/CAA/2019

Under Sections 230 to 232 of the Companies Act, 2013

In the matter of **Scheme of Amalgamation**

Between

M/s. EDAC Automation Limited
... 1st Transferor Company

And

M/s. EDAC Staffing Solution Private Limited
... 2nd Transferor Company

And

M/s. Totalcomm Infra Services Private Limited
... 3rd Transferor Company

And

M/s. EDAC Engineering Limited
... Transferee Company

And

Their respective Shareholders

Order delivered on 18th January, 2019

CORAM:

CH. MOHD SHARIEF TARIQ, MEMBER (JUDICIAL)

For Applicant(s): Mr. R.Kannan, PCS

ORDER

Per: CH. MOHD SHARIEF TARIQ, MEMBER (JUDICIAL):

1. Under consideration are Application Nos. 28 to 31/CAA/CB/2019 filed under Sections 230 to 232 of the Companies Act, 2013. Since all the Applications

are with regard to the single Scheme of Amalgamation, all of them are taken up together to pass a Common Order.

2. CA/28/CAA/CB/2019: -

(i) The prayer made in the Application of the 1st Transferor Company viz., M/s. EDAC Automation Limited, is for direction to convene, hold and conduct the meeting of the Equity Shareholders, meeting of the Preference Shareholders, and meeting of Creditors for the purpose of considering and approving the Scheme of Amalgamation. Also to grant permission to conduct the EoGM on such date as decided by the Board of Directors of the Company.

(ii) There are 7 (seven) Equity Shareholders in the 1st Transferor Company. The list of Equity Shareholders is placed at page 170 of the typed set filed with the Application. The EoGM of Equity Shareholders will be conducted on 27.02.2019 at the Registered Office of the 1st Transferor Company i.e., "SPIC House", 97, Mount Road, Chennai – 600 032.

Mr. BJA Baskaran is hereby appointed as the Chairman, and Mrs. N.Aishwarya is the Scrutinizer of the EoGM. The quorum shall be 10% of total strength or by proxy. In case there is no quorum at the designated time of the meeting, then the meeting shall be adjourned by half an hour, and thereafter, the person(s) present for voting shall be deemed to constitute the quorum. The voting by the proxy shall be permitted provided a proxy in the prescribed form duly signed by the person entitled to attend and vote at the meeting is filed with the company at its registered office not later than 48 hours before the meeting. The service of notice shall be effected by Courier/Speed Post/through electronic means, provided the e-mail address of the Equity Shareholders are available with the 1st Transferor Company at least one month + 2 days before the date fixed for the meeting. The persons who receive the notice within one month from the date of receipt of notice can vote in the meeting either in person or through proxy or the mode mentioned in the notice of the meeting to the adoption of the Scheme.

The Chairman is directed to ensure the availability of all the necessary facilities for the purpose of voting in the meeting so that the proceedings of the meeting may take place in a just, free and fair manner. The Chairman of the meeting is at liberty to fix his remuneration as per the practice in vogue and the company shall pay the same to him. The Chairman shall file the report of the meeting to this Bench within one week from the date of the meeting.

(iii) The 1st Transferor Company has no Secured Creditor. The Certificate issued by the Chartered Accountants to this effect is placed at pages 171 and 172 of the typed set filed with the Application.

(iv) The 1st Transferor Company has 50 (fifty) Unsecured Creditors. The Certificate issued by the Chartered Accountants to this effect and the list of the Unsecured Creditors are placed at pages 171 to 173 of the typed set filed with the Application.

The EoGM of the Unsecured Creditors will be conducted on 28.02.2019 at a place and time to be decided by the Board.

Mr. BJA Baskaran is hereby appointed as the Chairman, and Mrs. N.Aishwarya is the Scrutinizer of the EoGM of the Unsecured Creditors. The quorum for the proposed EoGM is 10% of total strength or by proxy. In case the quorum is not there at the designated time when the meeting is called, then, the meeting shall be adjourned by half an hour, and thereafter, the person present for voting shall be deemed to constitute the quorum.

The notice of the meeting of Unsecured Creditors shall be issued at least not less than 30 + 2 days prior to the date fixed for meeting. The service of notice shall be effected by Courier/Speed Post/through electronic means, provided the e-mail address of the Unsecured Creditors is available with the 1st Transferor Company.

The 1st Transferor Company is also directed to make available the facility for voting by making appropriate arrangements. The information about such arrangements shall be given to Unsecured Creditors well before the date fixed for the meeting. Those who received the notices may vote in the meeting either in person or through proxy for the adoption of the Scheme. The Chairman shall ensure that the proceedings of the meeting may take place in a just, free and fair manner, and within one week of the meeting, the Chairman shall file the report of the meeting of Unsecured Creditors before this Bench. The Chairman of the meeting is at liberty to fix his remuneration as per the practice in vogue and the company shall pay the same to him.

3. CA/29/CAA/CB/2019: -

(i) The prayer made in the Application of the 2nd Transferor Company viz., M/s. EDAC Staffing Solution Private Limited, is for direction to convene, hold and conduct the meeting of the Equity

Shareholders, meeting of Preference Shareholders, and meeting of Creditors for the purpose of considering and approving the Scheme of Amalgamation. Also to grant permission to conduct the EoGM on such date as decided by the Board of Directors of the Company.

(ii) There are 2 (two) Equity Shareholders in the 2nd Transferor Company. The list of Equity Shareholders is placed at page 120 of the typed set filed with the Application. The EoGM of Equity Shareholders will be conducted on 27.02.2019 at Registered Office of the 2nd Transferor Company i.e., "SPIC House", 88, Mount Road, Chennai – 600 032.

Mr. BJA Baskaran is hereby appointed as the Chairman, and Mrs. N.Aishwarya is the Scrutinizer of the EoGM. The quorum shall be 10% of total strength or by proxy. In case there is no quorum at the designated time of the meeting, then the meeting shall be adjourned by half an hour, and thereafter, the person present for voting shall be deemed to constitute the quorum. The voting by the proxy shall be

permitted provided a proxy in the prescribed form duly signed by the person entitled to attend and vote at the meeting is filed with the company at its registered office not later than 48 hours before the meeting. The service of notice shall be effected by Courier/Speed Post/through electronic means, provided the e-mail addresses of the Equity Shareholders are available with the 2nd Transferor Company at least one month + 2 days before the date fixed for the meeting. The person who receives the notice within one month from the date of receipt of notice can vote in the meeting either in person or through proxy or the mode mentioned in the notice of the meeting to the adoption of the Scheme.

The Chairman is directed to ensure the availability of all the necessary facilities for the purpose of voting in the meeting so that the proceedings of the meeting may take place in a just, free and fair manner. The Chairman of the meeting is at liberty to fix his remuneration as per the practice in vogue and the company shall pay the same to him. The Chairman

shall file the report of the meeting to this Bench within one week from the date of the meeting.

(iii) The 2nd Transferor Company has no Secured Creditor. The Certificate issued by the Chartered Accountants to this effect is placed at pages 121 and 122 of the typed set filed with the Application.

(iv) The 2nd Transferor Company has 4 (four) Unsecured Creditors. The Certificate issued by the Chartered Accountants to this effect and the list of the Unsecured Creditors are placed at pages 121 and 122 of the typed set filed with the Application.

The EoGM of the Unsecured Creditors will be conducted on 28.02.2019 at Registered Office of the 2nd Transferor Company i.e., "SPIC House", 88, Mount Road, Chennai – 600 032.

Mr. BJA Baskaran is hereby appointed as the Chairman, and Mrs. N.Aishwarya is the Scrutinizer of the EoGM of the Unsecured Creditors. The quorum

for meeting is 10% of total strength or by proxy. In case the quorum is not there at the designated time when the meeting is called, then, the meeting shall be adjourned by half an hour, and thereafter, the person present for voting shall be deemed to constitute the quorum.

The notice of the meeting of Unsecured Creditors shall be issued at least not less than 30 + 2 days prior to the date fixed for meeting. The service of notice shall be effected by Courier/Speed Post/through electronic means, provided the e-mail addresses of the Unsecured Creditors is available with the 2nd Transferor Company.

The 2nd Transferor Company is also directed to make available the facility for voting by making appropriate arrangements. The information about such arrangements shall be given to Unsecured Creditors well before the date fixed for the meeting. Those who received the notices may vote in the meeting either in person or through proxy for the adoption of the

Scheme. The Chairman shall ensure that the proceedings of the meeting may take place in a just, free and fair manner, and within one week of the meeting, the Chairman shall file the report of the meeting of Unsecured Creditors before this Bench. The Chairman of the meeting is at liberty to fix his remuneration as per the practice in vogue and the company shall pay the same to him.

4. CA/30/CAA/CB/2019: -

(i) The prayer made in the Application of the 3rd Transferor Company viz., M/s. Totalcomm Infra Services Private Limited, is for direction to convene, hold and conduct the meeting of the Equity Shareholders, meeting of Preference Shareholders, and meeting of Creditors for the purpose of considering and approving the Scheme of Amalgamation. Also to grant permission to conduct the EoGM on such date as decided by the Board of Directors of the Company.

(ii) There are 6 (six) Equity Shareholders in the 3rd Transferor Company. The list of Equity Shareholders is placed at page 122 of the typed set filed with the Application. The meeting of Equity Shareholders will be conducted on 27.02.2019 at Registered Office of the 3rd Transferor Company i.e., "SPIC House", 88, Mount Road, Chennai – 600 032.

Mr. BJA Baskaran is hereby appointed as the Chairman, and Mrs. N.Aishwarya is the Scrutinizer of the EoGM. The quorum shall be 10% of total strength or by proxy. In case there is no quorum at the designated time of the meeting, then the meeting shall be adjourned by half an hour, and thereafter, the person present for voting shall be deemed to constitute the quorum. The voting by the proxy shall be permitted provided a proxy in the prescribed form duly signed by the person entitled to attend and vote at the meeting is filed with the company at its registered office not later than 48 hours before the meeting. The service of notice shall be effected by Courier/Speed Post/through electronic means, provided the e-mail

addresses of the Equity Shareholders are available with the 3rd Transferor Company at least one month + 2 days before the date fixed for the meeting. The persons who receive the notice within one month from the date of receipt of notice can vote in the meeting either in person or through proxy or the mode mentioned in the notice of the meeting to the adoption of the Scheme.

The Chairman is directed to ensure the availability of all the necessary facilities for the purpose of voting in the meeting so that the proceedings of the meeting may take place in a just, free and fair manner. The Chairman of the meeting is at liberty to fix his remuneration as per the practice in vogue and the company shall pay the same to him. The Chairman shall file the report of the meeting to this Bench within one week from the date of the meeting.

(iii) The 3rd Transferor Company has no Secured Creditor. The Certificate issued by the Chartered Accountants to this effect is placed at pages 125 of the typed set filed with the Application.

(iv) The 3rd Transferor Company has 68 (sixty eight) Unsecured Creditors. The Certificate issued by the Chartered Accountants to this effect and the list of the Unsecured Creditors are placed at pages 123 to 125 of the typed set filed with the Application.

The EoGM of Unsecured Creditors will be conducted on 28.02.2019 at Registered Office of the 3rd Transferor Company i.e., "SPIC House", 88, Mount Road, Chennai – 600 032.

Mr. BJA Baskaran is hereby appointed as the Chairman, and Mrs. N.Aishwarya is the Scrutinizer of the EoGM of the Unsecured Creditors. The quorum for meeting is fixed at 10% of total strength or by proxy. In case the quorum is not there at the designated time when the meeting is called, then, the meeting shall be adjourned by half an hour, and thereafter, the person present for voting shall be deemed to constitute the quorum.

The notice of the meeting of Unsecured Creditors shall be issued at least not less than 30 + 2 days prior to the date fixed for meeting. The service of notice shall be effected by Courier/Speed Post/through electronic means, provided the e-mail addresses of the Unsecured Creditors are available with the 3rd Transferor Company.

The 3rd Transferor Company is also directed to make available the facility for voting by making appropriate arrangements. The information about such arrangements shall be given to Unsecured Creditors well before the date fixed for the meeting. Those who receive the notices may vote in the meeting either in person or through proxy for the adoption of the Scheme. The Chairman shall ensure that the proceedings of the meeting may take place in a just, free and fair manner, and within one week of the meeting, the Chairman shall file the report of the meeting of Unsecured Creditors before this Bench. The Chairman of the meeting is at liberty to fix his

remuneration as per the practice in vogue and the company shall pay the same to him.

5. CA/31/CAA/CB/2019: -

(i) The prayer made in the Application of the Transferee Company viz., M/s. EDAC Engineering Limited, is for direction to convene, hold and conduct the meeting of the Equity Shareholders, meeting of Preference Shareholders, and meeting of Creditors for the purpose of considering and approving the Scheme of Amalgamation. Also to grant permission to conduct the EoGM on such date as decided by the Board of Directors of the Company.

(ii) There are 7 (seven) Equity Shareholders, and 3 (three) Preference Shareholders in the Transferee Company. The list of Equity Shareholders and Preference Shareholders are placed at page 185 of the typed set filed with the Application. The EoGM of Equity Shareholders and Preference Shareholders will be conducted on 27.02.2019 at Registered Office of the

Transferee Company i.e., "SPIC House", 97, Mount Road, Chennai – 600 032.

Mr. BJA Baskaran and alternatively, Mr. M.Nandakumar is hereby appointed as the Chairman, Mrs. N.Aishwarya is the Scrutinizer of the EoGM. The quorum shall be 10% of total strength or by proxy. In case there is no quorum at the designated time of the meeting, then the meeting shall be adjourned by half an hour, and thereafter, the person present for voting shall be deemed to constitute the quorum. The voting by the proxy shall be permitted provided a proxy in the prescribed form duly signed by the person entitled to attend and vote at the meeting is filed with the company at its registered office not later than 48 hours before the meeting. The service of notice shall be effected by Courier/Speed Post/through electronic means, provided the e-mail addresses of the Equity Shareholders and Preference Shareholders are available with the Transferee Company at least one month + 2 days before the date

fixed for the meeting. The persons who receive the notice within one month from the date of receipt of notice can vote in the meeting either in person or through proxy or the mode mentioned in the notice of the meeting to the adoption of the Scheme.

The Chairman is directed to ensure the availability of all the necessary facilities for the purpose of voting in the meeting so that the proceedings of the meeting may take place in a just, free and fair manner. The Chairman of the meeting is at liberty to fix his remuneration as per the practice in vogue and the company shall pay the same to him. The Chairman shall file the report of the meeting to this Bench within one week from the date of the meeting.

(iii) The Transferee Company has 4 (four) Secured Creditors. The Certificate issued by the Chartered Accountants to this effect is placed at page 187 of the typed set filed with the Application.

The EoGM of the Secured Creditors will be conducted on 28.02.2019 at a place and time to be decided by the Board.

Mr. BJA Baskaran and alternatively, Mr.M.Nandakumar is hereby appointed as the Chairman, Mrs. N.Aishwarya is the Scrutinizer of the EoGM. The quorum shall be 10% of total strength or by proxy. In case there is no quorum at the designated time of the meeting, then the meeting shall be adjourned by half an hour, and thereafter, the person present for voting shall be deemed to constitute the quorum. The voting by the proxy shall be permitted provided a proxy in the prescribed form duly signed by the person entitled to attend and vote at the meeting is filed with the company at its registered office not later than 48 hours before the meeting. The service of notice shall be effected by Courier/Speed Post/through electronic means, provided the e-mail addresses of the Secured Creditors are available with the Transferee Company at least one month + 2 days before the date fixed for the meeting. The person who

receives the notice within one month from the date of receipt of notice can vote in the meeting either in person or through proxy or the mode mentioned in the notice of the meeting to the adoption of the Scheme.

The Chairman is directed to ensure the availability of all the necessary facilities for the purpose of voting in the meeting so that the proceedings of the meeting may take place in a just, free and fair manner. The Chairman of the meeting is at liberty to fix his remuneration as per the practice in vogue and the company shall pay the same to him. The Chairman shall file the report of the meeting to this Bench within one week from the date of the meeting.

(iv) The Transferee Company has 967 (nine hundred and sixty seven) Unsecured Creditors. The Certificate issued by the Chartered Accountants to this effect and the list of the Unsecured Creditors are placed at pages 188 to 208 of the typed set filed with the Application.

The EoGM of Unsecured Creditors will be conducted on 28.02.2019 at a place and time to be decided by the Board.

Mr. BJA Baskaran and alternatively, Mr. M.Nandakumar is hereby appointed as the Chairman, Mrs. N.Aishwarya is the Scrutinizer of the EoGM of the Unsecured Creditors. The quorum for meeting is fixed at 10% of total strength or by proxy. In case the quorum is not there at the designated time when the meeting is called, then, the meeting shall be adjourned by half an hour, and thereafter, the person(s) present for voting shall be deemed to constitute the quorum.

The notice of the meeting of Unsecured Creditors shall be issued at least not less than 30 + 2 days prior to the date fixed for meeting. The service of notice shall be effected by Courier/Speed Post/through electronic means, provided the e-mail addresses of the Unsecured Creditors is available with the Transferee Company.

The Transferee Company is also directed to make available the facility for voting by making appropriate arrangements. The information about such arrangements shall be given to Unsecured Creditors well before the date fixed for the meeting. Those who receive the notices may vote in the meeting either in person or through proxy for the adoption of the Scheme. The Chairman shall ensure that the proceedings of the meeting may take place in a just, free and fair manner, and within one week of the meeting, the Chairman shall file the report of the meeting of Unsecured Creditors before this Bench. The Chairman of the meeting is at liberty to fix his remuneration as per the practice in vogue and the company shall pay the same to him.

6. The Registry is directed to issue notice to the Regional Director, Ministry of Corporate Affairs, RoC concerned, Reserve Bank of India and Income Tax Authorities including the Assessing Officer of the IT Circle and notice to the Official Liquidator in relation to

the Transferor Companies with the direction to appoint the Chartered Accountants on his own for filing report(s) Since the Applicants are unlisted Companies, there is no requirement to issue notice to SEBI, and other Stock Exchanges or other sectoral regulators. In case the authority to whom notices are issued are desirous of making any objection/representation, they may do so within the period of 30 days from the date of the receipt of the notice. In case no representation is received within the stipulated period of 30 days by this Bench, it shall be presumed that the authorities have no representation to make on the proposed Scheme of Amalgamation. The Applicant Companies are directed to issue private notice separately to the said authorities/regulators by way of speed post/hand delivery. The proof of sending and effecting the service upon them with the newspaper publication be submitted along with an Affidavit, at the time of filing Company Petition(s).

7. The Applicant Companies are directed to effect publication separately in the newspapers one in

English "News Today" (Tamilnadu Edition) and another in vernacular "Maalai Sudar" (Tamilnadu Edition) having wide circulation in the State of Tamilnadu, having not less than 30 + 2 days before the date(s) fixed for meeting(s). The Applicant Companies are directed to upload the notices on their websites and display the notices on the notice boards at the Registered Office of respective Companies. The Registry is also directed to display the notices on the notice board of this Bench.

8. Accordingly, the Applications are **allowed**. After one week from the date of submission of the report(s) by the Chairman(s), the Applicant Companies may present the Company Petition(s). Accordingly, the Applications stand **disposed of**.

[CH. MOHD. SHARIEF TARIQ]
MEMBER (JUDICIAL)

MS